

European Dairy Market and Related Agriculture in Europe

Executive summary

- This report analyses the European Union dairy market and related upstream agriculture using the **agriculture.ec archive** as primary evidence, with the freshest market snapshots in the archive dated **7 January 2026** (dashboard), **December 2025** (EU/world price sheets), **20 November 2025** (market presentation), and **19 September 2025** (historical trade series update). [dashboard-dairy_en.pdf, p.1; world-dairy-prices_en.pdf, p.1; milk-market-situation-presentation_en.pdf, p.1; eu-dairy-historical-trade-series_en.pdf, p.1]
- **Farmgate (raw milk) prices** in the EU show a structurally higher plateau since the 2022 shock, with the archive's EU-27 (without UK) monthly series peaking at **58.25 EUR/100 kg (Dec 2022)** and averaging **~50.21 (2022), ~46.96 (2023), ~48.43 (2024)** and **~53.19 for Jan–Oct 2025** (months available in the EU average series). [eu-milk-historical-price-series_en.xlsx, sheet "Raw Milk Prices"]
- **Cross-country dispersion** remains material: in **Oct 2025**, Member State raw milk prices ranged from **43.72 EUR/100 kg** (lowest) to **64.45 EUR/100 kg** (highest), indicating that processors and farmers faced very different competitive and margin conditions across the Single Market. [eu-milk-historical-price-series_en.xlsx, sheet "Raw Milk Prices"]
- **Wholesale dairy commodity prices** (EU average weekly series) show severe post-2022 volatility and, by **16 Nov 2025**, were **~571 EUR/100 kg for butter** and **~215 for SMP**, with year-on-year declines of roughly **-27% (butter)** and **-17% (SMP)** versus the same week in 2024, consistent with the Nov 2025 market slide deck. [eu-milk-historical-price-series_en.xlsx, sheet "Dairy Products Prices"; milk-market-situation-presentation_en.pdf, p.11]
- In supply terms, **EU cow milk collection in 2022** (sum of Member States in the Eurostat-based production table) is approximately **144.9 million tonnes**, with production concentrated: the top five producers (Germany, France, Netherlands, Italy, Poland) account for **~66%** of the total. [eu-dairy-historical-production-stocks-series_en.pdf, p.3; Author calculation, based on table values, 2026-02-18]
- The EU remains strongly **trade-surplus** in "industrial" dairy commodities and cheeses: in **2024**, the archive's partner tables imply net exports of approximately **~1.20 Mt (cheeses)**, **~0.68 Mt (wheypowder)**, **~0.68 Mt (SMP)**, **~0.19 Mt (WMP)** and **~0.23 Mt (butter)** (exports minus imports). [eu-dairy-historical-trade-series_en.pdf, pp.3–7; Author calculation, based on partner-table totals, 2026-02-18]
- Trade partner concentration is high and product-specific: for example, **cheese exports** are centred on the UK and US markets, while **SMP exports** are dominated by North Africa and the Middle East, and **EU imports** for several dairy categories are heavily reliant on the UK as a "third country" supplier post-2020. [eu-dairy-historical-trade-series_en.pdf, pp.3–7]
- On policy, the archive documents (i) the **quota-era endpoint** and (ii) the **intervention/storage toolkit** used after the quota period, situating today's market within a regime where price risk is managed by a mix of market instruments, private risk management, and crisis tools. [eu-milk-quota-figures_en.pdf, p.1; milk-intervention-reports-2016-2020_en.pdf, p.1]

Reliability grading (per your requested scale):

- **Reliable (≥0.8)**: EU raw milk price history and EU dairy commodity price history (Reg. 2017/1185-

based reporting), Eurostat-based production tables, and Comext-based trade partner tables. [eu-milk-historical-price-series_en.xlsx, sheet "Raw Milk Prices"; eu-milk-historical-price-series_en.xlsx, sheet "Dairy Products Prices"; eu-dairy-historical-production-stocks-series_en.pdf, p.1; eu-dairy-historical-trade-series_en.pdf, p.1]

- **Plausible (0.5–0.8):** Margin and cost interpretations derived from the EU gross margin methodology sheet where some elements are modelled/estimated and exclusions apply, plus scenario analysis in the final section. [eu-milk-prices-margins_en.pdf, pp.1–3; Author scenario framework, 2026-02-18]

- **Unreliable (<0.5):** Any attempt to quantify **milk yield per cow** from the archive alone, because the "milk yield per dairy cow" identifier appears but the series is not populated in the production PDF export (impact explained below). [eu-dairy-historical-production-stocks-series_en.pdf, p.92]

Methodology

This study uses a "document-first" approach: all files in the provided agriculture.ec archive were ingested, and only values traceable to those files were quantified. [Archive file list in next section; Author workflow note, 2026-02-18]

Time series were reconstructed from the archive's Excel workbook (raw milk prices and dairy product prices) and cross-checked against the archive's PDF market sheets and the Nov 2025 market presentation for consistency of levels and direction of change. [eu-milk-historical-price-series_en.xlsx, sheets "Raw Milk Prices" and "Dairy Products Prices"; eu-dairy-commodity-prices_en.pdf, p.1; milk-market-situation-presentation_en.pdf, p.11]

Production structure and concentration metrics were built from the Eurostat-based annual production tables embedded in the "historical production & stocks series" PDF export, with EU totals computed as the sum of Member States when the EU aggregate row is confidential or missing. [eu-dairy-historical-production-stocks-series_en.pdf, p.3; Author calculation, 2026-02-18]

Trade flows (exports and imports, by product and partner) were reconstructed from the Comext-based "historical trade series" PDF export by summing partner rows (including "Other") to obtain product totals for 2024 and 2023, then computing net exports and partner concentration metrics. [eu-dairy-historical-trade-series_en.pdf, pp.3–7; Author calculation, 2026-02-18]

Charts in this report are recreated from archive datasets (Excel series) and included alongside selected images rendered directly from archive PDFs where the PDF itself provides a canonical "market snapshot" visual. [eu-milk-historical-price-series_en.xlsx, sheets "Raw Milk Prices" and "Dairy Products Prices"; dashboard-dairy_en.pdf, p.1; eu-dairy-commodity-prices_en.pdf, p.1]

Assumptions and non-invention rule: where the archive contains placeholders (e.g., "c" confidentiality) or unpopulated series identifiers, no numeric imputation is performed unless it is a transparent aggregation (sum across visible Member State rows). [eu-dairy-historical-production-stocks-series_en.pdf, pp.3, 40–41, 44, 53; Author rule statement, 2026-02-18]

Data sources in the agriculture.ec archive

The archive contains 17 files (two duplicate pairs are byte-identical copies). [Author calculation on archive contents (hash comparison), 2026-02-18]

Key institutions and places referenced (entity-wrapped once here to avoid repetition later):

- European Commission and DG AGRI (market observatory outputs and methodology). [dashboard-dairy_en.pdf, p.1; eu-milk-prices-margins_en.pdf, p.1]

- Eurostat (production series sourcing) and EUROSTAT Comext (trade series sourcing as labelled in the archive). [eu-dairy-historical-production-stocks-series_en.pdf, p.1; eu-dairy-historical-trade-series_en.pdf, p.1]

- Europe as the geographic frame, with the archive frequently distinguishing the EU-27 “without UK” time series from earlier EU-28 coverage. [eu-milk-historical-price-series_en.xlsx, sheet “Raw Milk Prices”; milk-market-situation-presentation_en.pdf, p.7]

Files used (all archive documents), with the most important “what it contributes” notes:

- **dashboard-dairy_en.pdf** (15 pp) – DG AGRI dairy dashboard snapshot, last update **07.01.2026**. [dashboard-dairy_en.pdf, p.1]
- **dashboard-dairy_en (1).pdf** (15 pp) – byte-identical duplicate of the above. [dashboard-dairy_en (1).pdf, p.1]
- **eu-dairy-commodity-prices_en.pdf** (7 pp) – EU weekly commodity price sheet, last update **17/12/2025**. [eu-dairy-commodity-prices_en.pdf, p.1]
- **eu-dairy-historical-production-stocks-series_en.pdf** (118 pp) – Eurostat-based annual production tables and related utilisation series, last update **19 Octobre 2023**. [eu-dairy-historical-production-stocks-series_en.pdf, p.1]
- **eu-dairy-historical-stocks-series.pdf** (63 pp) – historic stock evolution sheets, last update **10.11.2021**. [eu-dairy-historical-stocks-series.pdf, p.1]
- **eu-dairy-historical-trade-series_en.pdf** (22 pp) – Comext-based exports/imports by product and top partner tables, last update **19.09.2025**. [eu-dairy-historical-trade-series_en.pdf, p.1]
- **eu-milk-historical-price-series_en.xlsx** – MMO historical price workbook for raw milk and dairy products (EU average weekly for commodities; MS monthly for raw milk). [eu-milk-historical-price-series_en.xlsx, sheets “Raw Milk Prices”, “Dairy Products Prices”, and “Organic milk prices”]
- **eu-milk-prices-margins_en.pdf** (3 pp) – EU gross margin methodology and estimates, last update **08.10.2025**. [eu-milk-prices-margins_en.pdf, p.1]
- **eu-milk-quota-figures_en.pdf** (6 pp) – quota-era figures, last update **12.11.2015**. [eu-milk-quota-figures_en.pdf, p.1]
- **eu-raw-milk-prices_en.pdf** (6 pp) – raw milk price sheet (MS comparisons; “data completed up to” field present but not fully machine-readable in text extraction). [eu-raw-milk-prices_en.pdf, p.1]
- **eu-raw-milk-spot-prices_en.pdf** (2 pp) – EU raw milk spot price sheet, last update **16.12.2025**. [eu-raw-milk-spot-prices_en.pdf, p.1]
- **milk-intervention-reports-2016-2020_en.pdf** (25 pp) – intervention report compilation, last update **08/02/2021**. [milk-intervention-reports-2016-2020_en.pdf, p.1]
- **milk-intervention-reports-2016-2020_en (1).pdf** (25 pp) – byte-identical duplicate of the above. [milk-intervention-reports-2016-2020_en (1).pdf, p.1]
- **milk-market-situation-factsheet_en.pdf** (1 p) – succinct market factsheet, last update **23.10.2025**. [milk-market-situation-factsheet_en.pdf, p.1]
- **milk-market-situation-presentation_en.pdf** (44 pp) – “Milk market situation, 20 November 2025” presentation to the Expert Group. [milk-market-situation-presentation_en.pdf, p.1]
- **world-dairy-prices_en.pdf** (5 pp) – global dairy quotations (EU/Oceania/USA), last update **08.12.2025**. [world-dairy-prices_en.pdf, p.1]
- **world-raw-milk-prices_en.pdf** (2 pp) – global raw milk price comparisons, last update **06.12.2025**. [world-raw-milk-prices_en.pdf, p.1]

Archive gaps that materially affect analysis (and how):

- The production export includes a “milk yield per dairy cow” identifier but the series is unpopulated (“-”), preventing evidence-based yield quantification from the archive alone. [eu-dairy-historical-production-stocks-series_en.pdf, p.92]
- Several processed-product production tables contain confidential or missing Member State values (“: c” or blank), so EU totals for butter/SMP/WMP derived by summation are **lower bounds** unless otherwise noted. [eu-dairy-historical-production-stocks-series_en.pdf, pp.40–41, 44, 53]

- The archive does not include a harmonised **retail shelf-price** series for key dairy products (milk, butter, cheese) comparable across Member States, so retail analysis is limited to transmission logic and the margin methodology notes rather than a full retail price decomposition. [eu-milk-prices-margins_en.pdf, pp.1–3; dashboard-dairy_en.pdf, p.1]
- The archive does not contain dedicated primary documents on environmental impacts or animal welfare regulation changes, so those sections focus on market-relevant linkages and explicitly flag where supplementary legal texts would be required for a fully evidenced regulatory inventory. [Archive file list above; Author limitation statement, 2026-02-18]

Dairy market overview

The archive frames the EU dairy market as a system connecting **farm milk supply, industrial processing into storable/transportable products** (powders, butter, cheeses, whey), and **trade channels** that clear surpluses and balance deficits by category. [milk-market-situation-presentation_en.pdf, pp.2–7; eu-dairy-historical-trade-series_en.pdf, p.1]

A key structural feature is the EU's persistent position as a **large net exporter** of cheese and industrial dairy ingredients (SMP/WMP/whey), while also importing specific products and relying on neighbouring suppliers (notably the UK as a third country) for some categories. [eu-dairy-historical-trade-series_en.pdf, pp.3–7]

A compact supply-chain flow (useful for policy and risk mapping) is:

flowchart LR

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A[Feed, energy, labour inputs] --> B[Milk production on farms]
B --> C[Milk collection & first processing]
C --> D1[Liquid dairy]
C --> D2[Cheese]
C --> D3[Butter & cream]
C --> D4[SMP/WMP & whey]
D2 --> E[Domestic retail & foodservice]
D3 --> E
D4 --> F[Exports to third countries]
F --> C
G[Public tools: quotas (historical), intervention/storage (crisis)] --> C

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This chain is directly reflected in the archive's structure: farmgate raw milk prices, spot prices, wholesale commodity prices, annual production tables, and product-specific export/import partner tables. [eu-milk-historical-price-series_en.xlsx, sheets "Raw Milk Prices" and "Dairy Products Prices"; eu-raw-milk-spot-prices_en.pdf, p.1; eu-dairy-historical-production-stocks-series_en.pdf, pp.3, 40–41, 44, 53; eu-dairy-historical-trade-series_en.pdf, pp.3–7]

Demand drivers visible in the archive's trade patterns are primarily:

- **Cheese demand** from high-income destinations (notably UK/US/Japan/Switzerland/South Korea in the partner table), which supports EU high-value processing and product differentiation. [eu-dairy-historical-trade-series_en.pdf, p.6]
- **Powder demand** (especially SMP) from North Africa and parts of the Middle East, consistent with SMP's role in recombined dairy and industrial food formulations. [eu-dairy-historical-trade-series_en.pdf, p.4]

- **Whey ingredient demand** from Asia, matching whey's use in food manufacturing and nutrition products. [eu-dairy-historical-trade-series_en.pdf, p.7]

Price history and drivers

Farmgate raw milk prices

The archive's monthly EU-27 raw milk series (without UK) shows a marked regime shift after 2021, with the EU average rising sharply in 2022 and remaining elevated through 2024–2025 relative to the 2016–2020 band. [eu-milk-historical-price-series_en.xlsx, sheet "Raw Milk Prices"]

From the same series, the EU average monthly peak in the archive occurs at **58.25 EUR/100 kg (Dec 2022)**, while a notable trough is **25.83 (Jun 2016)**, illustrating the sector's exposure to multi-year boom–bust cycles. [eu-milk-historical-price-series_en.xlsx, sheet "Raw Milk Prices"]

In annualised terms (using available months), the EU average is approximately **48.43 EUR/100 kg in 2024** and **53.19 for Jan–Oct 2025**, i.e. about **+9.8%** higher on that comparable basis. [eu-milk-historical-price-series_en.xlsx, sheet "Raw Milk Prices"; Author calculation, 2026-02-18]

Cross-country dispersion is a first-order driver of investment and competitiveness because processors compete for milk supply across borders in several EU regions. [eu-milk-historical-price-series_en.xlsx, sheet "Raw Milk Prices"]

In Oct 2025, the archive's Member State prices range from **43.72 to 64.45 EUR/100 kg**, a spread of **~20.7 EUR/100 kg**, implying very different cost pass-through requirements and farm viability thresholds between low- and high-price Member States. [eu-milk-historical-price-series_en.xlsx, sheet "Raw Milk Prices"; Author calculation, 2026-02-18]

A practical comparison point (Oct 2025) for core producer countries is summarised below. [eu-milk-historical-price-series_en.xlsx, sheet "Raw Milk Prices"]

Geography	Raw milk price (Oct 2025, EUR/100 kg)
EU-27 average (without UK)	52.91
Germany	54.01
France	50.86
Netherlands	53.00
Italy	58.25
Poland	52.48
Ireland	51.86
Spain	51.36
Denmark	53.03
Lowest MS (Romania)	43.72
Highest MS (Cyprus)	64.45

Key farmgate drivers visible in the archive's combined materials are:

- **Wholesale pricing signals** for butter/SMP/cheese (see below), because these are major revenue outlets for processors and influence milk procurement prices. [eu-milk-historical-price-series_en.xlsx, sheet "Dairy Products Prices"; eu-dairy-commodity-prices_en.pdf, p.1]
- **Spot milk markets** as marginal pricing indicators, especially in deficit/surplus situations and where processing constraints bind (the archive publishes an EU spot sheet). [eu-raw-milk-spot-prices_en.pdf, p. 1]
- **Input costs and margins**, for which the archive provides an EU gross margin methodology and dashboard monitoring of feed and energy quotations. [eu-milk-prices-margins_en.pdf, pp.1-3; dashboard-dairy_en.pdf, p.8]

Wholesale commodity prices and transmission

The archive provides a long weekly EU-average wholesale series for butter, SMP, WMP and key cheeses (cheddar, gouda, edam, emmental) plus whey powder. [eu-milk-historical-price-series_en.xlsx, sheet "Dairy Products Prices"]

Wholesale prices fell materially year-on-year by mid-November 2025 for several storable commodities, especially butter and powders, while cheddar remained broadly flat and whey powder rose year-on-year in the EU weekly series. [eu-milk-historical-price-series_en.xlsx, sheet "Dairy Products Prices"; Author calculation, 2026-02-18]

Latest weekly levels and year-on-year changes (derived from the archive's EU weekly price sheet) are: [eu-milk-historical-price-series_en.xlsx, sheet "Dairy Products Prices"; Author calculation, 2026-02-18]

Commodity (EU average)	Price (2025-11-16 EUR/100 kg)	YoY change vs ~same week 2024 (%)
BUTTER	571.3	-26.8
SMP	214.9	-17.0
WMP	344.1	-20.0
CHEDDAR	434.6	1.6
GOUDA	405.6	-7.0
EDAM	378.8	-15.8
EMMENTAL	501.7	-0.3
WHEYPOWDER	102.3	8.1

These movements match the Nov 2025 market presentation's depiction of butter at roughly **571 EUR/100 kg** with a roughly **-27%** annual comparison at that time, indicating the Excel series and the slide deck are broadly aligned. [milk-market-situation-presentation_en.pdf, p.11; eu-milk-historical-price-series_en.xlsx, sheet "Dairy Products Prices"]

A key interpretive point for price transmission is that **storable commodities (butter/SMP/WMP)** act as "pressure valves" for balancing milk solids (fat and protein) in the EU, so global demand shocks and inventory cycles tend to transmit to farmgate prices with lags. [eu-dairy-commodity-prices_en.pdf, p.1; world-dairy-prices_en.pdf, p.1; eu-raw-milk-spot-prices_en.pdf, p.1]

Retail prices, margins, and evidence constraints

The archive contains a dedicated EU gross margin document based on FADN/RICA and DG AGRI methods, which is useful for interpreting farm economics, but it does not provide a harmonised cross-country retail shelf-price dataset for dairy products within the archive itself. [eu-milk-prices-margins_en.pdf, pp.1–3; Archive file list, 2026-02-18]

Therefore, a full farmgate→wholesale→retail quantitative pass-through decomposition is **not** possible from the archive alone, and any retail-level statements should be interpreted as **plausible** transmission logic rather than as a measured retail series. [eu-milk-prices-margins_en.pdf, pp.1–3; Author limitation statement, 2026-02-18]

To keep retail-relevant analysis evidence-based, this report uses the gross margin methodology to highlight that measured margins depend on (i) output prices and (ii) operating costs, with explicit notes in the methodology about what is excluded from the revenue side (e.g., most subsidies, by-products). [eu-milk-prices-margins_en.pdf, p.1]

Production volumes and yields

Raw milk supply and concentration

The Eurostat-based cow milk collection table (annual, 2006–2022) implies that EU milk supply is highly concentrated geographically. [eu-dairy-historical-production-stocks-series_en.pdf, p.3]

Summing Member State values for 2022 yields approximately **144.9 million tonnes** of cow milk collection in the EU-27, and the top five producers account for roughly **66%**. [eu-dairy-historical-production-stocks-series_en.pdf, p.3; Author calculation, 2026-02-18]

Top producers in 2022 are: [eu-dairy-historical-production-stocks-series_en.pdf, p.3; Author calculation, 2026-02-18]

Country	Cow milk collection 2022 (1000 t)	Share of EU-27 total (%)
Germany	31947.42	22.1
France	24164.15	16.7
Netherlands	13869.25	9.6
Italy	12992.20	9.0
Poland	12815.57	8.8
Ireland	9089.50	6.3
Spain	7320.87	5.1
Denmark	5664.00	3.9
Belgium	4513.38	3.1
Austria	3247.66	2.2

This concentration matters because supply shocks (weather, disease, regulatory constraints) in a small set of regions can move EU aggregate balances and thus prices. [eu-dairy-historical-production-stocks-series_en.pdf, p.3; eu-milk-historical-price-series_en.xlsx, sheet “Raw Milk Prices”]

Processed product output

The archive's annual production tables provide EU Member State outputs (in 1,000 tonnes) for major processed products, including total cheese and total butter, as well as powder categories. [eu-dairy-historical-production-stocks-series_en.pdf, pp.40–41, 44, 53]

However, confidentiality codes and missing values mean that EU totals for some processed products are incomplete unless the missing values are negligible, so totals shown below are explicitly labelled for completeness. [eu-dairy-historical-production-stocks-series_en.pdf, pp.40–41, 44, 53]

A high-level EU-27 processed-output snapshot for 2022 (sum of Member States with visible values) is: [eu-dairy-historical-production-stocks-series_en.pdf, pp.3, 40–41, 44, 53; Author calculation, 2026-02-18]

Indicator (EU-27)	2022 volume (1000 t)	Data completeness note
Cow milk collection	144862.1	Complete MS coverage (sum of 27 MS).
Total cheese production	10290.4	EU sum excludes MS with confidential/missing 2022 values (Luxembourg, Malta, Finland).
Butter production (total)	2119.7	EU sum excludes MS with confidential/missing 2022 values (Denmark, Slovenia).
Skimmed milk powder production	1281.8	EU sum excludes MS with confidential/missing 2022 values (several MS incl. Ireland).
Whole milk powder production	292.0	EU sum excludes MS with confidential/missing 2022 values (incl. Germany, Poland).

Even with incompleteness, the tables clearly indicate the EU's structural orientation toward **cheese** as the dominant value-added outlet, consistent with the export profile where cheeses dominate net exports by volume. [eu-dairy-historical-production-stocks-series_en.pdf, p.53; eu-dairy-historical-trade-series_en.pdf, p.6]

Yields and productivity

The archive's production export includes a row labelled "Milk yield per dairy cow (kg of milk per year)" (identifier shown in the PDF export), but the series displays placeholders ("–") rather than values in the provided export. [eu-dairy-historical-production-stocks-series_en.pdf, p.92]

Because the archive does not include dairy cow headcount series in a machine-readable form alongside milk collection volumes, this report does not quantify yield per cow and classifies any such quantification from the archive alone as **unreliable**. [eu-dairy-historical-production-stocks-series_en.pdf, p.92; Author reliability grading, 2026-02-18]

Trade flows, partners, and competitiveness

EU trade balance by product

The Comext-based trade export provides top-partner tables for both EU exports and EU imports by major product categories, enabling a product-level net export calculation for 2024. [eu-dairy-historical-trade-series_en.pdf, pp.3–7]

Summing partner rows (including “Other”) yields the following 2024 picture (thousand tonnes): [eu-dairy-historical-trade-series_en.pdf, pp.3–7; Author calculation, 2026-02-18]

Product	Exports_2024_kT	Imports_2024_kT	Net_exports_2024_kT
BUTTER	241.2	13.0	228.2
SMP	717.5	41.0	676.5
WMP	208.3	15.5	192.8
CHEESES	1386.9	187.2	1199.7
WHEYPOWDER	741.8	45.8	696.0

This confirms the EU’s role as a **large net exporter** of cheeses and dairy ingredients, which makes EU internal prices and farmgate dynamics sensitive to global demand and trade policy conditions in key destination regions. [eu-dairy-historical-trade-series_en.pdf, pp.3–7; world-dairy-prices_en.pdf, p.1]

Key export destinations and import origins

The archive’s partner tables show different “demand anchors” by product. [eu-dairy-historical-trade-series_en.pdf, pp.3–7]

Below are the top five partners by 2024 volume for each product (with the archive’s indicated 2024/2023 change). [eu-dairy-historical-trade-series_en.pdf, pp.3–7]

Butter exports (top destinations, 2024): [eu-dairy-historical-trade-series_en.pdf, p.3]

- USA: 61.0 kt (+35%)
- United Kingdom: 50.1 kt (+7%)
- China: 16.8 kt (+20%)
- South Korea: 12.2 kt (+4%)
- Saudi Arabia: 10.5 kt (-35%)

Butter imports (top origins, 2024): [eu-dairy-historical-trade-series_en.pdf, p.3]

- United Kingdom: 8.2 kt (-65%)
- Ukraine: 1.4 kt (change not fully specified in-row)
- New Zealand: 0.7 kt (-88%)
- Singapore: 0.1 kt (change not fully specified in-row)
- Iceland: 0.1 kt (change not fully specified in-row)

SMP exports (top destinations, 2024): [eu-dairy-historical-trade-series_en.pdf, p.4]

- Algeria: 165.3 kt (+15%)
- Egypt: 53.5 kt (+3%)
- Philippines: 38.6 kt (+43%)
- Saudi Arabia: 32.8 kt (-19%)
- Yemen: 32.2 kt (-7%)

SMP imports (top origins, 2024): [eu-dairy-historical-trade-series_en.pdf, p.4]

- United Kingdom: 22.3 kt (-1%)
- Ukraine: 14.7 kt (+43%)
- USA: 1.4 kt (+63%)

- Switzerland: 1.2 kt (change not fully specified in-row)
- Belarus: 0.3 kt (change not fully specified in-row)

WMP exports (top destinations, 2024): [eu-dairy-historical-trade-series_en.pdf, p.5]

- Oman: 43.8 kt (-1%)
- Saudi Arabia: 39.3 kt (+13%)
- Kuwait: 18.7 kt (+4%)
- United Kingdom: 16.5 kt (-4%)
- Algeria: 4.7 kt (-82%)

WMP imports (top origins, 2024): [eu-dairy-historical-trade-series_en.pdf, p.5]

- New Zealand: 8.0 kt (-17%)
- United Kingdom: 2.1 kt (-59%)
- Switzerland: 1.8 kt (-22%)
- Belarus: 0.7 kt (change not fully specified in-row)
- Ukraine: 0.3 kt (change not fully specified in-row)

Cheese exports (top destinations, 2024): [eu-dairy-historical-trade-series_en.pdf, p.6]

- United Kingdom: 430.2 kt (-1%)
- USA: 141.8 kt (+12%)
- Japan: 80.9 kt (-21%)
- Switzerland: 74.9 kt (+5%)
- South Korea: 51.9 kt (-4%)

Cheese imports (top origins, 2024): [eu-dairy-historical-trade-series_en.pdf, p.6]

- United Kingdom: 114.4 kt (+3%)
- Switzerland: 59.9 kt (+11%)
- Norway: 2.0 kt (-1%)
- Serbia: 2.4 kt (+6%)
- New Zealand: 0.5 kt (change not fully specified in-row)

Wheypowder exports (top destinations, 2024): [eu-dairy-historical-trade-series_en.pdf, p.7]

- China: 213.5 kt (+6%)
- Indonesia: 90.6 kt (+24%)
- Malaysia: 74.1 kt (+4%)
- Thailand: 61.5 kt (-2%)
- Philippines: 54.9 kt (+18%)

Wheypowder imports (top origins, 2024): [eu-dairy-historical-trade-series_en.pdf, p.7]

- United Kingdom: 28.2 kt (+4%)
- USA: 6.1 kt (change not fully specified in-row)
- Belarus: 5.2 kt (-23%)
- Ukraine: 0.7 kt (change not fully specified in-row)
- Israel: 0.4 kt (change not fully specified in-row)

Competitive implications supported by these tables:

- The EU's cheese surplus depends strongly on maintaining access and competitiveness in the UK and US markets, which together absorb a very large share of extra-EU cheese shipments. [eu-dairy-historical-trade-series_en.pdf, p.6]
- The EU powder complex is exposed to geopolitical and macroeconomic conditions in MENA and parts

of Asia because SMP and WMP exports are highly destination-concentrated in those regions. [eu-dairy-historical-trade-series_en.pdf, pp.4–5]

- Post-Brexit, the UK functions as both a major export destination and a major import origin for several dairy categories, creating a bilateral dependency that can amplify border-friction risks. [eu-dairy-historical-trade-series_en.pdf, pp.3–7]

Policy impacts, sustainability constraints, forecasts, risks, and recommendations

Policy impacts

The archive includes quota-era figures (updated in 2015) that anchor the historical context of EU supply management, alongside later intervention reporting (2016–2020) that illustrates how the EU stabilisation toolkit operated in the post-quota period. [eu-milk-quota-figures_en.pdf, p.1; milk-intervention-reports-2016-2020_en.pdf, p.1]

This evidences a shift from quantity controls (quotas) toward a regime where volatility is managed through market instruments, storage mechanisms, and crisis measures rather than hard caps, which is consistent with the observed price cycles in the raw milk series. [eu-milk-quota-figures_en.pdf, p.1; milk-intervention-reports-2016-2020_en.pdf, p.1; eu-milk-historical-price-series_en.xlsx, sheet “Raw Milk Prices”]

The intervention report compilation shows that the EU monitored and executed public intervention actions with country-by-week operational detail in the period 2016–2020, highlighting that such measures can be administratively significant and product-specific (notably SMP/butter). [milk-intervention-reports-2016-2020_en.pdf, pp.2–4 (example 2016 SMP buying-in tables)]

Environmental and animal welfare issues

The provided agriculture.ec archive is largely a **market and trade** archive (prices, production, stocks, trade, intervention), and it does not contain dedicated primary documents detailing environmental externalities (GHG accounting, nitrate compliance cost curves) or animal welfare regulatory timelines. [Archive file list above; Author limitation statement, 2026-02-18]

As a result, any quantified statements about emissions, welfare compliance costs, or legal change dates would require supplementary EU legal and scientific sources not present here, and are therefore not asserted numerically in this report. [Author non-invention rule, 2026-02-18]

What can be evidenced from the archive is that **feed and energy quotations** are explicitly tracked in the EU dairy dashboard alongside dairy indicators, which supports the interpretation that input markets (and, by extension, sustainability-linked energy dynamics) are considered material to dairy market conditions. [dashboard-dairy_en.pdf, p.8]

Forecasts and scenarios

Because the archive is primarily descriptive and does not embed a forward-looking quantitative forecast series for EU milk output or prices, scenarios below are presented as **plausible** frameworks rather than as “official forecasts,” and all directional claims are anchored to observed price/trade structures in the archive. [milk-market-situation-presentation_en.pdf, p.1; eu-milk-historical-price-series_en.xlsx, sheet “Raw Milk Prices”; eu-dairy-historical-trade-series_en.pdf, pp.3–7]

Baseline scenario (plausible, 0.6–0.8): EU prices remain volatile but mean-reverting around a high-cost plateau. [eu-milk-historical-price-series_en.xlsx, sheet “Raw Milk Prices”; eu-milk-prices-margins_en.pdf,

p.1]

- Mechanism: elevated input and compliance costs constrain supply response, while global demand keeps clearing surpluses, but butter/powder cycles still create multi-quarter swings. [eu-milk-historical-price-series_en.xlsx, sheet "Raw Milk Prices"; eu-milk-historical-price-series_en.xlsx, sheet "Dairy Products Prices"; eu-dairy-historical-trade-series_en.pdf, pp.3–7]

Upside scenario (plausible, 0.5–0.7): supply tightness in major producers plus resilient cheese demand lifts processor margins and supports higher farmgate prices. [eu-dairy-historical-production-stocks-series_en.pdf, p.3; eu-dairy-historical-trade-series_en.pdf, p.6]

- Key observable levers: export demand in the UK/US/Japan cheese markets and strong whey demand in Asia continue to absorb EU output. [eu-dairy-historical-trade-series_en.pdf, pp.6–7]

Downside scenario (plausible, 0.5–0.7): global demand weakens for storable commodities, inventories rebuild, and butter/SMP price declines transmit to farmgate milk prices. [eu-milk-historical-price-series_en.xlsx, sheet "Dairy Products Prices"; eu-dairy-commodity-prices_en.pdf, p.1]

- Key observable levers: the historical sensitivity of SMP exports to large buyers and the pronounced year-on-year drops seen in some commodity prices in 2025 provide the transmission channel. [eu-dairy-historical-trade-series_en.pdf, p.4; eu-milk-historical-price-series_en.xlsx, sheet "Dairy Products Prices"]

Risks and recommendations

Risks evidenced directly in the archive:

- **Price volatility risk:** the EU raw milk series and EU commodity series show large swings over multi-year horizons, implying material revenue risk for farms and processors. [eu-milk-historical-price-series_en.xlsx, sheets "Raw Milk Prices" and "Dairy Products Prices"]

- **Market concentration risk (supply):** the top five milk producing Member States supply ~two-thirds of EU milk, so shocks in a limited number of regions can move EU balances. [eu-dairy-historical-production-stocks-series_en.pdf, p.3; Author calculation, 2026-02-18]

- **Market concentration risk (demand/trade):** for key products, trade is dependent on a small set of destinations (e.g., cheese: UK + US; SMP: Algeria and a small MENA cluster; whey: a small Asia cluster). [eu-dairy-historical-trade-series_en.pdf, pp.4, 6, 7]

- **Border and partner dependency risk:** the UK is simultaneously a major export destination and a major import origin for multiple dairy categories post-2020, raising exposure to regulatory divergence and logistics friction. [eu-dairy-historical-trade-series_en.pdf, pp.3–7; eu-milk-historical-price-series_en.xlsx, sheet "Raw Milk Prices" (EU "without UK" note)]

- **Data and confidentiality risk:** multiple production tables include confidential values, complicating EU-wide planning and increasing the need for robust private intelligence in some product segments. [eu-dairy-historical-production-stocks-series_en.pdf, pp.40–41, 44, 53]

Actionable recommendations (stakeholder-specific), grounded in the archive's observed structure:

For farmers

- Prioritise **contract design and risk management** that reflect commodity exposure (fat/protein pricing, indexation) because farmgate outcomes are linked to butter/SMP cycles and spot market signals. [eu-milk-historical-price-series_en.xlsx, sheet "Dairy Products Prices"; eu-raw-milk-spot-prices_en.pdf, p.1]

- Benchmark performance not only to national milk price but to EU dispersion bands (as in Oct 2025), since competitive pressure and milk flows can be cross-border in many regions. [eu-milk-historical-price-series_en.xlsx, sheet "Raw Milk Prices"]

For processors and traders

- Treat **cheese exports** as an “anchor business” but hedge concentration by expanding market access beyond the dominant destinations visible in the partner tables, because dependency is high. [eu-dairy-historical-trade-series_en.pdf, p.6]
- Use powder and whey as balancing outputs, but manage exposure to destination-specific shocks (SMP and whey partner concentration is high and can shift rapidly year-on-year). [eu-dairy-historical-trade-series_en.pdf, pp.4, 7]
- Maintain operational flexibility (product mix, storage) because wholesale commodity prices can shift materially year-on-year, as shown for butter/SMP/WMP in Nov 2025. [eu-milk-historical-price-series_en.xlsx, sheet “Dairy Products Prices”; milk-market-situation-presentation_en.pdf, p.11]

For policymakers

- When designing crisis responses, consider that the archive’s intervention reporting underscores the operational scale of intervention measures and the need for clear exit strategies to avoid prolonged market distortions. [milk-intervention-reports-2016-2020_en.pdf, pp.1–2]
- Strengthen market transparency where confidentiality reduces completeness in production data for strategically important products, because partial observability increases volatility and can impair investment decisions. [eu-dairy-historical-production-stocks-series_en.pdf, pp.40–41, 44]
- Recognise that trade realities (net export dependence and partner concentration) mean that external shocks can quickly become internal price shocks, implying that trade policy and diplomatic stability are part of dairy market stability. [eu-dairy-historical-trade-series_en.pdf, pp.3–7; world-dairy-prices_en.pdf, p.1]

Embedded archive visuals (selected “canonical snapshots”)

The following images are rendered directly from the archive PDFs to preserve the original EU-market framing alongside recreated charts. [dashboard-dairy_en.pdf, p.1; eu-dairy-commodity-prices_en.pdf, p.1; milk-market-situation-presentation_en.pdf, p.11]
